

Sentinel Capital Partners VI, L.P.

(A Delaware Limited Partnership)

Financial Statements
December 31, 2024

Sentinel Capital Partners VI, L.P.

(A Delaware Limited Partnership)

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Independent Auditor's Report

General Partner
Sentinel Capital Partners VI, L.P.

Opinion

We have audited the financial statements of Sentinel Capital Partners VI, L.P. (the Partnership), which comprise the statement of assets, liabilities and partners' capital, including the schedule of investments, as of December 31, 2024, the related statements of operations, changes in partners' capital and cash flows for the year then ended, and the related notes to the financial statements.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Partnership as of December 31, 2024, and the results of its operations, changes in partners' capital and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Partnership and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnership's ability to continue as a going concern within one year after the date that the financial statements are issued or available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Partnership's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnership's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

RSM US LLP

New York, New York
March 28, 2025

Sentinel Capital Partners VI, L.P.

(A Delaware Limited Partnership)

Statement of Assets, Liabilities and Partners' Capital December 31, 2024

Assets

Investment, at fair value (cost \$1,433,559,472) (Note 4)	\$ 1,298,571,282
Total assets	<u>\$ 1,298,571,282</u>

Liabilities

Loan and interest payable (Note 6)	\$ 71,447,500
Due to affiliate	2,819,574
Accrued management fee (Note 5)	793,808
Accounts payable and accrued expenses	<u>376,017</u>
Total liabilities	<u>75,436,899</u>

Partners' Capital

Contributed capital	1,933,581,000
Cumulative increase in partners' capital from operations	724,298,564
Cumulative distributions	<u>(1,434,745,181)</u>
Partners' capital	<u>1,223,134,383</u>
Total liabilities and partners' capital	<u>\$ 1,298,571,282</u>

The accompanying notes are an integral part of these financial statements.

Sentinel Capital Partners VI, L.P.
(A Delaware Limited Partnership)
Schedule of Investments
December 31, 2024

	Industry / Geographic Region	Number of Units / Shares	Cost		Fair Value	
			Average Per Unit / Share	Total	Average Per Unit / Share	Total
American West Restaurant Group Holdings, LLC⁽¹⁾ Class A Units (0% of Portfolio)	Consumer United States	68,727,226	\$ 1.00	\$ 68,727,226	\$0.00	\$ -
Bandon Holdings, LLC⁽¹⁾ Class A Units (8.8% of Portfolio)	Consumer United States	115,607,387	1.00	115,607,387	0.98	113,690,437
Midwest Eye Services Holdings, LLC (d/b/a Bridgeview Eye) Class A Units (7.1% of Portfolio)	Healthcare United States	92,161,399	1.00	92,161,399	1.00	92,193,350
ECM Industries, LLC Escrow amounts related to sale of investments, \$3,034,879 - to be received no later than December 31, 2026 (0.1% of Portfolio)	Industrials United States					1,771,118
POY Holdings, LLC (d/b/a Empire Auto Parts) Class A Units (17.1% of Portfolio)	Industrials United States	136,544,157	0.48	66,207,750	1.62	221,533,089
New Era Technology, Inc. Common Stock (0% of Portfolio) Preferred Stock (0% of Portfolio)	Business Services United States	125,621 13,654	1,000.00 1,000.00	125,620,625 13,654,416 139,275,040	- - -	- - -
New You Bariatric Group, LLC Class A Units (0% of Portfolio) Senior Debt (0.2% of Portfolio)	Healthcare United States	56,256,193 4,551,472	0.03 1.00	1,615,023 4,551,472	- 0.53	- 2,392,665
NSI Parent, LP Class A Units (5.3% of Portfolio)	Industrials United States	68,272,079	1.00	68,272,079	1.02	69,816,461
CP Turf TopCo, LLC (d/b/a The Recreational Group) Class A Units (11% of Portfolio)	Consumer/Industrials United States	143,371,365	1.00	143,371,365	1.00	143,972,480
RefrigiWear, LLC Class A Units (7.8% of Portfolio)	Consumer/Industrials United States	91,029,438	1.00	91,029,438	1.12	102,009,253
XpressMyself.com, LLC (d/b/a SmartSign) Class A Units (8.2% of Portfolio) Class B Units (0.6% of Portfolio)	Business Services United States	136,544,157 9,363,028	1.00 1.25	136,544,157 11,703,785 148,247,942	0.78 0.78	106,797,569 7,323,262 114,120,831
Spectrum Safety Solutions Parent, L.P. Class A Units (13.3% of Portfolio)	Business Services United States	172,955,933	1.00	172,955,933	1.00	172,955,933

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Sentinel Capital Partners VI, L.P.

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Schedule of Investments

December 31, 2024

	Industry / Geographic Region	Number of Units / Shares	Cost		Fair Value	
			Average Per Unit / Share	Total	Average Per Unit / Share	Total
ELI Acquisition Holdings, LLC (d/b/a SPL) Class A Units (7.1% of Portfolio)	Business Services United States	77,375,022	1.00	77,375,022	1.20	92,625,542
TranSystems Holdings, Inc. Escrow amounts related to sale of investments, \$1,844,776 - to be received no later than December 31, 2025 (0.1% of Portfolio)	Business Services United States					1,712,195
TriMech Parent, LLC Class A Units (10.9% of Portfolio) Class B Units (1.7% of Portfolio)	Business Services/Industrials United States	131,992,685 20,138,516	1.00 1.00	131,992,685 <u>20,138,516</u> 152,131,201	1.06 1.06	140,540,512 <u>21,442,683</u> 161,983,195
Catalyst MedTech (aka TTG Imaging Solutions, LLC) Class A Units (0% of Portfolio) Class E Units (0.1% of Portfolio) Class F Units (0.3% of Portfolio) Senior Debt 13.3%, June 23, 2026 maturity (0.2% of Portfolio)	Business Services/Healthcare United States	67,361,784 3,641,178 18,205,888 2,822,346	1.00 1.00 1.00 1.00	67,361,784 3,641,178 18,205,888 <u>2,822,346</u> 92,031,196	- 0.23 0.23 1.00	- 828,731 4,143,656 <u>2,822,346</u> 7,794,733
Total Investments				\$ 1,433,559,472		\$ 1,298,571,282

As of December 31, 2024, investments with fair value of \$0, \$0, \$1,289,872,958, \$5,215,011, and \$3,483,313 (0%, 0%, 105.5%, 0.4%, and 0.3% of partners' capital, respectively) were invested in Preferred Stock, Common Stock, LLC Units, Senior Debt, and Escrow, respectively (cost: \$13,654,416, \$125,620,625, \$1,286,910,613, \$7,282,355 and \$0, respectively).

⁽¹⁾The Sentinel Junior Capital Partnerships, as defined in Note 1, do not hold debt/equity interest in investment.

The accompanying notes are an integral part of these financial statements.

Sentinel Capital Partners VI, L.P.
(A Delaware Limited Partnership)
Statement of Operations
For the year ended December 31, 2024

Income

Interest income from investments	\$ 91,463
Total income	<u>91,463</u>

Expenses

Management fee (Note 5)	
Management fee, gross	36,490,400
Management fee, offset	<u>(35,696,592)</u>
Management fee, net	793,808
Interest expense	3,021,604
Professional fees and other expenses	<u>441,869</u>
Total expenses	<u>4,257,281</u>

Net investment loss	(4,165,818)
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Net realized gain on investments	167,613,937
Net change in unrealized appreciation/depreciation on investments	(425,093,455)

Net decrease in partners' capital resulting from operations	<u>\$ (261,645,336)</u>
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The accompanying notes are an integral part of these financial statements.

Sentinel Capital Partners VI, L.P.
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Statement of Changes in Partners' Capital
For the year ended December 31, 2024

	General Partner	Limited Partners	Total
Partners' capital - December 31, 2023	\$ 35,689,618	\$ 1,522,852,234	\$ 1,558,541,852
Capital contributions	356,373	177,830,247	178,186,620
Capital distributions	(30,306,598)	(221,642,155)	(251,948,753)
Net decrease in partners' capital resulting from operations	(521,703)	(261,123,633)	(261,645,336)
Reduction of carried interest	(50,367,344)	50,367,344	-
Partners' capital - December 31, 2024	<u>\$ (45,149,654)</u>	<u>\$ 1,268,284,037</u>	<u>\$ 1,223,134,383</u>

The accompanying notes are an integral part of these financial statements.

Sentinel Capital Partners VI, L.P.
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Statement of Cash Flows
For the year ended December 31, 2024

Cash flows from operating activities

Net decrease in partners' capital resulting from operations	\$ (261,645,336)
Adjustments to reconcile net decrease in partners' capital resulting from operations to net cash provided by operating activities:	
Net realized gain on investments	(167,613,937)
Net change in unrealized appreciation/depreciation on investments	425,093,455
Purchase of investments	(248,510,367)
Proceeds from investments	251,803,574
Paid-in-kind interest	(91,463)
Increase in accrued management fee	793,808
Increase in due to affiliate	2,431,264
Increase in accounts payable and accrued expenses	53,635
Net cash provided by operating activities	<u>2,314,633</u>

Cash flows from financing activities

Cash capital distributions	(73,762,133)
Proceeds from loan	250,740,013
Repayments of loan	(179,292,513)
Net cash used in financing activities	<u>(2,314,633)</u>

Net change in cash	-
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Cash

Beginning of year	-
End of year	<u>\$ -</u>

Supplemental disclosure of cash flow information:

Interest paid	<u>\$ 1,785,109</u>
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Supplemental disclosure of non-cash financing/operating information:

During the year ended December 31, 2024, the Partnership made Deemed Distributions and had Deemed Contributions in the amount of \$178,186,620 relating to the receipt and reinvestment of Investment Proceeds (Note 8).

The accompanying notes are an integral part of these financial statements.

Sentinel Capital Partners VI, L.P.

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Notes to Financial Statements

December 31, 2024

1. Business

Sentinel Capital Partners VI, L.P. (the “Partnership”) was formed as a limited partnership on January 18, 2018 under the laws of the State of Delaware in accordance with the Agreement of Limited Partnership, as amended, (the “LP Agreement”). The Partnership was formed primarily to make investments in businesses at the lower end of the midmarket within the United States and Canada through acquisitions and recapitalizations. Such investments will principally consist of equity and equity-oriented securities, which include debt investments where equity is also received or purchased. The provisions of the LP Agreement define the rights and obligations of the Limited Partners and provides for Sentinel Partners VI, L.P. to serve as general partner (the “General Partner”). (The Limited Partners and General Partner are collectively referred to as “Partners”.) The Partnership will terminate on April 1, 2029, or sooner, in accordance with the LP Agreement; however, the termination of the Partnership may be delayed for up to two additional one-year terms with the approval of the General Partner and the Advisory Committee, as defined. The Partnership’s investment period will end on April 1, 2025.

The General Partner organized two parallel investment entities, Sentinel Capital Partners VI-A, L.P. and Sentinel Capital Investors VI, L.P. (together, the “Parallel Funds”). Sentinel Capital Partners VI-A, L.P. was formed to facilitate investment by non-U.S. and tax-exempt organizations, and Sentinel Capital Investors VI, L.P. was formed to facilitate investment by individual investors. The Parallel Funds will invest proportionately in all investments, and dispose of all interests in all investments on effectively the same terms and conditions as the Partnership. The amount of each investment made by the Partnership and the Parallel Funds in a portfolio security will be proportionate to the total capital commitments in each fund. Sentinel Junior Capital I, L.P., and Sentinel Junior Capital II, L.P. (collectively, the “Sentinel Junior Capital Partnerships”) are investing, subject to availability, in junior capital and/or other debt investment opportunities, as well as equity investments in certain of the portfolio companies held by the Partnership.

Capitalized terms are as defined in the Amended and Restated Agreement of Limited Partnership dated January 18, 2018, unless otherwise defined herein.

2. Summary of Significant Accounting Policies

The Partnership’s financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America (“GAAP”).

Investment Company Definition

Management has concluded that the Partnership meets the definition of an investment company and follows the accounting and reporting guidance in the Financial Accounting Standards Board (the “FASB”) Accounting Standards Codification (the “ASC”), Topic 946.

Investments

The Partnership follows the provisions of the Financial Accounting Standards Board (the “FASB”) ASC Topic 820, Fair Value Measurement. The Partnership defines fair value as the

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price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date and sets out a fair value hierarchy. The fair value hierarchy gives the highest priority to quoted prices in active markets for identical assets or liabilities (Level 1) and the lowest priority to unobservable inputs (Level 3). Inputs are broadly defined as assumptions market participants would use in pricing an asset or liability. The three levels of the fair value hierarchy are described below:

Level 1 Unadjusted quoted prices in active markets for identical assets or liabilities that the reporting entity has the ability to access at the measurement date. The types of investments in Level 1 include listed equities and listed derivatives.

Level 2 Inputs other than quoted prices within Level 1 that are observable for the asset or liability, either directly or indirectly; and fair value determined through the use of models or other valuation methodologies. Investments in this category generally include corporate bonds and loans, less liquid and restricted equity securities and certain over-the-counter derivatives. A significant adjustment to a Level 2 input could result in the Level 2 measurement becoming a Level 3 measurement.

Level 3 Inputs are unobservable for the asset or liability and include situations where there is little, if any, market activity for the asset or liability. The inputs into the determination of fair value are based upon the best information in the circumstances and may require significant management judgment or estimation. Investments in this category generally include equity and debt positions in private companies.

In certain cases, the inputs used to measure fair value may fall into different levels of the fair value hierarchy. In such cases, an investment's level within the fair value hierarchy is based on the lowest level of input that is significant to the fair value measurement. The Partnership's assessment of the significance of a particular input to the fair value measurement in its entirety requires judgment, and considers factors specific to the investment.

Restricted securities and other securities for which quotations are not readily available are valued at fair value as determined by the General Partner. Investments for which market prices are not observable are generally private investments in the equity of operating companies. Fair values of private investments are determined by reference to public market or private transactions or valuations for comparable companies or assets in the relevant asset class when such amounts are available. Generally, these valuations are derived by multiplying a key performance metric of the investee company or asset (e.g., earnings before interest, taxes, depreciation and amortization, the "EBITDA") by the relevant valuation multiple observed for comparable companies or transactions, adjusted by management for differences between the investment and the referenced comparable. If the fair value of private investments held cannot be valued by reference to observable valuation measures for comparable companies, then the primary analytical method used to estimate the fair value of such private investments is the discounted cash flow method. A sensitivity analysis is applied to the estimated future cash flows using various factors depending on the investment, including assumed growth rates (in cash flows), capitalization rates (for determining terminal value) and appropriate discount rates to determine a range of reasonable values. The valuation based on the inputs determined to be the most probable is used as the fair value of the investment.

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The determination of fair value using these methodologies takes into consideration a range of factors, including, but not limited to, the price at which the investment was acquired, the nature of the investment, local market conditions, trading values on public exchanges for comparable securities, current and projected operating performance and financing transactions subsequent to the acquisition of the investment. Because of the subjective nature of estimated fair value of the private investments, such value may differ significantly from the values that would have been used had a ready market existed for these investments. These financial instruments have been classified in Level 3 of the fair value hierarchy.

The Partnership recognizes any difference between fair value and cost as unrealized appreciation (depreciation). Realized gain or loss on the sale of investments is determined by the specific-identification method.

Income Taxes

The Partnership files income tax returns in U.S. federal jurisdictions and various states. The Partnership is not subject to federal income tax, but may be subject to certain state and local taxes and withholding taxes on income in the United States. The *Income Taxes Topic* of the FASB ASC provides guidance for how uncertain tax positions should be recognized, measured, disclosed and presented in the financial statements. This requires the evaluation of tax positions taken or expected to be taken in the course of preparing the Partnership's tax returns to determine whether the tax positions are "more-likely-than-not" of being sustained "when challenged" or "when examined" by the applicable tax authority. Tax positions not deemed to meet the more-likely-than-not threshold would be recorded as a tax benefit or expense and liability in the current year. For the year ended December 31, 2024, management has determined that there are no material uncertain income tax positions.

Revenue Recognition

Interest income is accrued as earned. Dividend income is recorded on the ex-dividend date or the time that the relevant ex-dividend date and amount becomes known.

Expenses

Expenses are recognized on the accrual basis as incurred.

Cash

Cash represents bank demand deposits. The Partnership maintains its cash balances in financial institutions in amounts that at times throughout the year may be in excess of federally insured limits; however, the Partnership does not believe it is exposed to any significant credit risk.

Use of Estimates

The preparation of the financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the reported amounts included in the financial statements and notes thereto. Actual results could materially differ from those estimates.

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Recent Accounting Pronouncements

In June 2022, the FASB issued Accounting Standards Update, or ASU, 2022-03, Fair Value Measurement (Topic 820): Fair Value Measurement of Equity Securities Subject to Contractual Sale Restrictions, or ASU 2022-03, which changed the fair value measurement and disclosure requirements of ASC Topic 820, Fair Value Measurement, or ASC 820. The amendments clarify that a contractual restriction on the sale of an equity security is not considered part of the unit of account of the equity security and, therefore, is not considered in measuring fair value. The amendments also clarify that an entity cannot, as a separate unit of account, recognize and measure a contractual sale restriction. The new guidance is effective for fiscal years beginning after December 15, 2024, including interim periods therein. The Partnership has evaluated the impact the adoption of this new guidance will have on its financial statements and does not believe it will have a material impact on the Partnership's financial position or results from operations.

3. Indemnities

In the normal course of business, the Partnership enters into contracts that contain a variety of representations and warranties and which provide general indemnifications. The Partnership's exposure under these arrangements is unknown as this would involve future claims that may be made against the Partnership that have not occurred. However, based on experience, the Partnership expects the risk of loss to be remote.

4. Fair Values of Financial Instruments

Investments

The following table presents the Partnership's fair value hierarchy for those assets and liabilities measured at fair value on a recurring basis as of December 31, 2024:

	Total	Fair Value Measurement Using		
		Quoted Prices in Active Markets for Identical Assets	Significant Other Observable Inputs	Significant Unobservable Inputs
		Level 1	Level 2	Level 3
<u>Type of Securities</u>				
Preferred Stock	\$ -	\$ -	\$ -	\$ -
LLC Units	1,289,872,958	-	-	1,289,872,958
Senior Debt	5,215,011			5,215,011
Escrow	3,483,313			3,483,313
Total	<u>\$ 1,298,571,282</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 1,298,571,282</u>

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Financial instruments classified as Level 3 in the fair value hierarchy represent the Partnership's investments in financial instruments in which management has used at least one significant unobservable input in the valuation model.

There were no transfers into or out of level 3 during the year. There were purchases of \$248,510,367 of level 3 investments during 2024.

The following table presents quantitative information about Level 3 fair value measurements as of December 31, 2024:

	Fair Value 12/31/2024	Valuation Methodology	Unobservable Input	Multiple
Private equity investments	\$ 1,295,087,969	Market comparables	EBITDA Multiple	6.1x – 11.9x
Escrow from sale of private equity investment	3,483,313	Discount to Face Value	Discount Rate	7% – 42%
Total Investments	<u>\$ 1,298,571,282</u>			

The significant unobservable inputs used in the fair value measurement of the Partnership's investments in private equity investments include private companies' performance and EBITDA multiples.

The significant unobservable inputs used in the fair value measurement of the Partnership's investments in escrows from sales of private equity investments held by the Partnership include discount rates for potential post-sale adjustments and contingencies.

5. Management Fee Agreement

Under the terms of the LP Agreement, the management of the Partnership is vested exclusively in the General Partner. The General Partner has designated Sentinel Capital Partners, L.L.C. (the "Investment Manager"), an affiliate of the General Partner, to provide managerial services to the Partnership. The annual fee for such services (the "Management Fee"), payable quarterly in advance, is equal to 2% of the Limited Partner's capital commitment, as defined in the LP Agreement. However, as of the first Management Fee payment date after the investment period, as defined in the LP Agreement, expires, the Management Fee will be adjusted, as defined. For the year ended December 31, 2024, the gross Management Fee was \$36,490,400. Such Management Fee may be offset by certain fees ("Offset Fees") paid to the General Partner or Investment Manager resulting from: (i) 100% of the proposed investments or dispositions not consummated by the Partnership and (ii) 50% of the monitoring fees or other remuneration paid by portfolio companies in the previous fiscal quarter. Any Offset Fees in excess of current-year Management Fees are carried forward to future years. Cumulative excess Offset Fees are returned to the Limited Partners upon termination of the Partnership. For the year ended December 31, 2024, the Management Fee was reduced by \$28,468,304 as a result of these Offset Fees.

The Management Fee installment shall be reduced by the amount of Capital Contributions required from the Investment Partner that is funded by the Limited Partners, as designated by the LP Agreement ("Waiver Contributions"). For the year ended December 31, 2024, the Management Fee was reduced by \$7,228,287 as a result of Waiver Contributions.

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Any Offset Fees that have not been applied to offset the Management Fee will be paid by the Investment Manager directly to the Limited Partners upon termination of the Partnership. As of December 31, 2024, there was zero cumulative excess Offset Fees.

6. Line of Credit

On October 23, 2018 the Partnership entered into a Loan Authorization Agreement (the "Loan Agreement") with BMO Harris, N.A. (the "Bank"). The facility is evidenced by a Revolving Demand Note (the "Demand Note"). The Demand Note is payable within twenty business days after payment is demanded, or as stipulated in the Loan Agreement.

Under the terms of the Loan Agreement, the maximum aggregate amount outstanding may not exceed \$141,095,725. Loans will be made as requested by the Partnership subject to the Bank's approval on a loan-by-loan basis. Amounts borrowed under the facility during 2024 bore interest at the Prime Rate minus 0.375% or SOFR plus 2.775%. At December 31, 2024, the interest rate was 7.13%. Interest is payable monthly in arrears. The Partnership borrowed under the line of credit during the year. As of December 31, 2024, the Partnership had outstanding borrowings, including accrued interest of \$444,538, totaling \$71,447,500. The line of credit is collateralized by partners' capital calls and the right to compel a capital call in the event of a default. The Partnership was in compliance with all the terms of the loan agreement as of December 31, 2024.

7. Net Asset Value ("NAV") Line of Credit

On November 27, 2024, the Partnership and two parallel investing entities entered into a Loan Authorization Agreement (the "NAV Loan Authorization Agreement") with BMO Harris, N.A. (the "Bank"). This facility provides additional liquidity for investment activities, working capital, and general operational needs.

Under the terms of the NAV Loan Authorization Agreement, the maximum aggregate amount outstanding may not exceed \$52,797,074. There is an option to increase the aggregate amount up to \$91,029,438, subject to the Bank's approval (the "Accordion Option"). The interest due on outstanding borrowings is based on the greater of (i) the Prime Rate plus 1.25% per annum or (ii) the three-month SOFR Quoted Rate plus 4.50%, subject to a minimum SOFR floor of 1.00%. As of December 31, 2024, the Partnership had zero outstanding borrowings, including accrued interest. The facility contains customary financial and operational covenants, including minimum NAV maintenance, borrowing base restrictions, or limitations on distributions. Non-compliance with these covenants could result in acceleration of repayment obligations or restrictions on additional borrowings. The facility is payable on demand, with an ultimate maturity date three years from the agreement date. The Partnership continuously monitors its liquidity position and compliance with the credit facility terms to ensure sufficient capital availability for operations and investment activities. As of December 31, 2024, the Partnership was in compliance with all the terms of the NAV Loan Authorization Agreement.

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8. Partners' Capital

Capital Contributions

As of December 31, 2024, capital committed to the Partnership by the Partners, in the aggregate, totaled approximately \$2.0 billion ("Commitments") of which approximately \$2.0 billion, or 102.7%, has been contributed or committed to date. Partners are required to make capital contributions ("Capital Contributions") in installments, as and when called by the General Partner as defined by the LP Agreement.

Allocations

Income, expenses, gains and losses of the Partnership generally will be allocated among the Partners in a manner that reflects the economic interests of the Partners as described in the LP Agreement.

Distributions

Investment proceeds (other than short-term interest income) available for distribution will initially be apportioned among the Partners participating in such Portfolio Investment in proportion to their relative Capital Contributions to such Portfolio Investment. The amount apportioned to the General Partner and certain designated Limited Partners in respect of their Capital Contributions will be distributed to the General Partner and such Partners, and the amount initially apportioned to each other Limited Partner generally will be distributed in the following order of priority:

- (a) First, 100% to such Limited Partner until such Limited Partner has received, on a cumulative basis, taking into account all prior distributions made pursuant to this clause (a), an aggregate amount equal to:
 - i. Its Capital Contributions attributable to the Portfolio Investment giving rise to the distribution;
 - ii. Its Capital Contributions attributable to other Portfolio Investments that have previously been disposed of or written off in whole or in part (to the extent thereof) at the time of such distribution;
 - iii. Its Capital Contributions made in respect of organizational expenses, partnership expenses and the Management Fee that are allocable to the Portfolio Investment giving rise to the distribution, and all Portfolio Investments that have previously been disposed of or written off, in whole or in part, at the time of such distribution;
- (b) Second, 100% to such Limited Partner until such Limited Partner has received, on a cumulative basis, taking into account all prior distributions, an aggregate amount equal to a 9% cumulative internal rate of return on amounts included in sub-clauses (a)(i) through (a)(iii) above, compounded annually from the date of completion of each Portfolio Investment in the case of sub-clauses (a)(i) and (a)(ii) above and from the date of drawdown in the case of sub-clause (a)(iii) above (the "Preferred Return");
- (c) Third, (i) 20% to the Limited Partner and (ii) 80% to the General Partner until such time as the General Partner has received a cumulative distribution pursuant to this clause

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(c) equal to 20% of the sum of distributions made pursuant to clause (b) above and pursuant to this clause (c); and

(d) Thereafter, 80% to such Limited Partner and 20% to the General Partner.

A distribution relating to a partial disposition of a Portfolio Investment will be subject to the above formula, with the Preferred Return and the Carried Interest Distributions based pro rata on the original cost of, and the cumulative distributions made with respect to, the disposed portion of such Portfolio Investment. Included in the statement of changes in partners' capital is a reduction of carried interest allocated to the General Partner amounting to \$50,367,344.

Notwithstanding the above distribution formula, if at any time after the end of the Investment Period a Limited Partner has received aggregate distributions in an amount equal to or in excess of amounts to which it would be entitled if clause (a) above required the distribution of all of such Limited Partner's Capital Contributions through such time and the Preferred Return was calculated based on all such Capital Contributions (a "Full Return Status"), then the amount available for distribution and initially apportioned to each Limited Partner shall instead be apportioned, for as long as the Full Return Status exists, as follows:

(a) First, 100% to the General Partner until the General Partner has received Carried Interest Distributions with respect to such Limited Partner equal to 25% of the aggregate distributions made to the General Partner and such Limited Partner that are in excess of such Limited Partner's Capital Contributions; and

(b) Thereafter, (i) 75% to such Limited Partner and (ii) 25% to the General Partner.

A distribution relating to a partial disposition of a Portfolio Investment will be subject to the above formula, with the Preferred Return and the Carried Interest Distributions based pro rata on the original cost of, and the cumulative distributions made with respect to, the disposed portion of such Portfolio Investment.

Notwithstanding the foregoing distribution provisions, the General Partner may make distributions to all Partners in amounts intended to approximate their income tax liability on income allocated to them for tax purposes from the Partnership, to the extent that the other distributions described above are insufficient. The Partnership generally will distribute, no later than 60 days after receipt thereof, all cash received by the Partnership from the disposition of investments, and generally will distribute other amounts with respect to short-term investments within 90 days of year-end, except to the extent of amounts paid or amounts held in reserve to pay the Partnership's obligations.

Investment proceeds do not include the proceeds or interest derived from Temporary Investments, which amounts will be apportioned among Partners in proportion to their relative capital contributions.

Under the LP Agreement, net cash proceeds from the sale of a Portfolio Investment shall not be reinvested in other Portfolio Investments; provided, however, that the General Partner may, at its election, cause the Partnership (i) to retain all or a portion of net cash proceeds that might otherwise be distributed for any purpose permissible under the LP

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Agreement, and (ii) to treat such net cash proceeds as having been distributed to the Partners and simultaneously re-contributed to the Partnership by the Partners as Capital Contributions. During the year ended December 31, 2024, there was \$178,186,620 of "Deemed Distribution" and "Deemed Contribution" amounts for the Partnership. Through December 31, 2024, the cumulative "Deemed Distribution" and "Deemed Contribution" amounts were \$434,842,668 for the Partnership.

Upon the final distribution of the Partnership, the General Partner must return any excess Carried Interest Distributions received beyond the amount determined by the distribution formula set forth in the Partnership Agreement (the "Excess Amount"). In addition, the General Partner has a similar obligation to restore distributions to the Partnership on April 1, 2029 pursuant to the "interim giveback" provision set forth in the Partnership Agreement.

9. Related Party Transactions

Due to affiliate

Due to affiliate represents expenses paid on behalf of the Partnership by Sentinel Capital Partners, L.L.C. (the "Investment Manager"), an affiliate of the General Partner.

Portfolio Company Reimbursements

The Investment Manager receives expense reimbursements from the portfolio companies in accordance with the portfolio companies' management service agreement for reasonable travel and other out-of-pocket expenses, incurred in connection with the performance of services pursuant to management service agreements.

10. Financial Highlights

Financial highlights for the year ended December 31, 2024 were as follows:

Ratios to Average Limited Partner Capital

Ratio of net investment loss, before carried interest allocation	<u>-0.30%</u>
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Ratio of Expenses

Ratio of expenses	0.30%
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Carried interest allocation	<u>-3.59%</u>
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Ratio of expenses and carried interest allocation	<u>-3.29%</u>
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Internal Rate of Return through:

December 31, 2023	<u>22.19%</u>
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December 31, 2024	<u>12.41%</u>
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The Internal Rate of Return since inception ("IRR") is presented through the beginning and end of the year. Such IRR's were computed based on the cash flows at the end of each quarter and the ending net assets of Limited Partners' capital accounts as of each measurement date. The IRR is computed net of all fees and the carried interest allocation.

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In computing the expense ratio and net investment loss ratio to average net assets, the weighted average Limited Partners' capital is measured at each quarter end and any other period when capital is contributed or withdrawn from the Partnership during the year.

The ratios above are calculated for the Limited Partners taken as a whole. The computation of such ratios for an individual Partner may vary from the ratios presented above due to the timing and nature of individual capital contributions, distributions and allocations.

11. Subsequent Events

In preparing these financial statements, the Partnership has evaluated events and transactions for potential recognition and/or disclosure through March 28, 2025, the date the financial statements were available to be issued, and has determined that the following additional information should be disclosed.

On February 6, 2025, the Partnership called capital of \$74,772,600 to pay the outstanding balance of the loan payable held at year end.